TAKE-HOME TASK

TRAVEL PROTECTION

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PRESENTATION STRUCTURE

WHAT

- Customer Pain Points
- Strategic Directions
- Chosen Concept

WHY

- Market Opportunity
- Unit Economy
- Summary & Goals

HOW

- Execution Roadmap
- MVP Solution Draft
- Measurement & Learning
- Risks & Mitigation
- Trust & Compliance
- Team & Partner Alignment

A Assumptions are marked with this icon

WHAT: CUSTOMER PAIN POINTS

#	STREAM	PAIN POINT	LTV A	REVENUE A	CM A
1	PRE	Can't tell CDW from LDW from excess — all coverage types sound the same	High	↑ Attach rate	High
2	PICKUP	Pressured into €15–25/day insurance at counter — even when already covered	High	↑ Pre-book	High
3	PRE	Primary vs secondary coverage unclear — fear of double bureaucracy after incident	Medium	↑ Attach rate	High
4	PRE	Flight delay → rental desk closed, no-show fee, forced rebooking at 2× price	High	↑ New revenue	High
5	PRE	Prepaid rental non-refundable — cancel penalties, no flexibility to change	High	↑ New revenue	High
6	POST	Charged for damage they didn't cause — claim arrives weeks after return	Critical	↑ Retention	Medium
7	PICKUP	€900–1500 deposit hold freezes travel budget — painful on debit cards	High	↑ New revenue	Medium
8	PRE	Don't know if coverage works at destination — rules vary by EU country	Medium	↑ Attach rate	Medium
9	PRE	Exclusions hidden in fine print — tires, keys, misfuelling need separate add-ons	High	↑ New revenue	Medium
10	POST	Surprise €200–500 bills after return — admin fees, tolls, cleaning charges	Critical	↓ Churn	Low
11	POST	Final bill 30–50% above booking price — surcharges only in fine print	High	↓ Churn	Low
12	POST	Claims take months — unclear docs, insurer and rental company blame each other	Critical	↓ Churn	Low
13	POST	Repair costs "out of thin air" — no breakdown, feels arbitrary	High	↓ Churn	Low
14	POST	Fuel policy traps — prepaid/return-full confusion, surcharges for missing receipt	Medium	↓ Churn	Low

- **Notes:** Product focus: PRE-BOOKING. Before purchase we can set correct expectations and reduce future escalations without hurting conversion. Full Coverage has requirements and deadlines *(claim "within 28 days", document package)* — if learned only after incident, trust is lost at IN-TRIP / POST-TRIP. All values are A assumptions.
- Based on qualitative research (Reddit, TripAdvisor, travel blogs; 62 data points). Sorted by CM potential. Revenue = mechanism.
- CM — Contribution Margin.

WHAT: STRATEGIC DIRECTIONS

STREAM	DIRECTION	PAINS № A	COMP* A	CM A	EFFORT A	CONF. A	SCORE A
PRE	Trip Disruption Protection — flight delay, missed pickup, rebooking	#4	*No product*	High	Med	Med	7
PRE	Packaging & Monetization Layer — tier bundles, dynamic pricing, attach-rate opt.	#10,11	Low	Med	Med	High	7
PRE	Full Coverage UX Enhancement — clearer UX, country rules, exclusions	#1,3,8,9	High	Low	Med	High	6
PRE	Excess Reduction Add-ons — micro-coverage: tires, keys, misfuelling	#6,9	High	Low	Med	High	6
PRE	Cancel For Any Reason — refund rental for any reason (5–10% of price)	#5	*No product*	High	Med	Low	6
PRE·PICKUP	Deposit Protection / Waiver — eliminate €900–1500 card hold	#7	*No product*	Med	High	High	6
POST	Post-Trip Claims Automation — auto-doc, digital inspection, fast payout	#10,11,12,13	Low	Low	Med	Med	5
CROSS	Subscription for Frequent Travelers — annual plan, unlimited coverage	#1,2,3,7,8,9	*No product*	Med	High	Low	4
B2B	B2B White-Label / Co-branded — protection-as-a-service for SMBs	#1,2,3,9	*No product*	Med	High	Low	4
IN-TRIP	In-Trip Assistance — real-time support, incident reporting, translation	#6,12	Med	Low	High	Low	3

- **Notes:** Score = CM + Effort^{-1} (Low=3, Med=2, High=1) + Confidence. Max 9. All values are A assumptions.
- Demand / Pains № references pain points from Slide 3.
- * — Comp = Competitors' features presence comparing with DiscoverCar. Detailed.
- CM — Contribution Margin.

WHAT: CHOSEN DIRECTION

DIRECTION

TRIP DISRUPTION PROTECTION

THE PROBLEM (PAIN)

"You booked a car at Malaga Airport 3 weeks ago. Flight delayed 6 hours. You land at 23:40 — rental desk closed, car released. €120 no-show fee. Next available car — 2× the price. Your prepaid booking? Non-refundable. Total loss: €350+ through no fault of yours."

JTBD

"When my travel plans are disrupted, I want automatic financial protection for my rental costs, so I can rebook without stress and not lose money on things I can't control."

- **Scope:** car rental costs only. Flights, hotels, other travel expenses — not covered.
- **Selection criteria:** CM potential × competitive gap × effort feasibility. Trip Disruption = only direction scoring 7/9 with zero competitor presence.

WHY: MARKET OPPORTUNITY

MARKET SIZE

TAM	€850M	113M fly-&-drive bookings × €7.50 avg premium A
SAM	€11.6M	* top-down via travel insurance market ($28B) → car-rental share → DC share ≈ €11.6M SAM ✅ A
SOM Y1	€594K	990K eligible × 10% attach × €6.00 A
SOM Y2	€1.87M	1.53M × 17% attach × €7.20 A
SOM Y3	€3.5–3.9M	2.0M × 23% attach × €7.80 A

Cross-check:
** top-down via travel insurance market ($28B) → car-rental share → DC share ≈ €11.6M SAM ✅ A*
** bottom up via unit economy ✅ A*

COMPETITIVE GAP: TRIP DISRUPTION

Enterprise/Hertz/Avis	No	Zero trip disruption coverage
Rentalcars	Partial	Via Booking: flight/accom only, not car rental costs
AutoEurope	Partial	Unused days (medical only), no flight disruption
RentalCover	No	Vehicle damage only, no trip risk
DiscoverCars	No	No trip disruption product

No selected competitor offers Trip Disruption coverage explicitly

- **Notes:** TAM based on ~270M global online car rental bookings, ~60% airport/fly-and-drive, ~70% target segment. Cross-validated via Allied Market Research travel insurance sizing.
- DC bookings estimated at ~3M/year (SimilarWeb: ~100M visits/yr × ~3% OTA conversion). SAM filtered for EU27+UK+US jurisdictions where Sincera can license within 2 years.
- Competitor data sourced from public terms, detailed analysis. All values are A assumptions.

WHY: UNIT ECONOMY FOR BASE CASE A

UNIT PROFITABILITY (PER POLICY)

Price (Revenue)	€7.50
Risk Cost	-€3.38 (45%)
Ops & Tech	-€0.62
Net Margin	€3.50 (47%) ✅

TARGET ATTACH RATE

15%

Base Case Assumption

LTV LIFT (PLATFORM)

+2.0%

Driven by higher retention

Detailed Scenario Analysis:

Scenario Analysis

WHY: SUMMARY & GOALS

DIRECTION

- Trip Disruption Protection

WHY THIS DIRECTION FIRST?

- High Revenue potential — low claims, high perceived value A
- Blue ocean — no competitor offers this A
- Claim paid in 48h → retention ↑ A
- Data flywheel — dynamic pricing → margin grows YoY A

USER GETS

- Flight delay / cancellation → no-show fee reimbursed
- Forced rebooking → price difference covered
- Prepaid booking non-refundable → penalty reimbursed

RENTAL SERVICE GETS

- Fewer no-show disputes & chargebacks
- Higher rebooking rate (coverage assurance)
- Lower support load on disruption cases

CUSTOMER

4.2+ A
CSAT TARGET

<2% A
COMPLAINT RATE

DISCOVERCARS

€250K A → **€2.5M+** A
CONTRIBUTION MARGIN (YEAR 1 → YEAR 3)

15% A → **25%** A
ATTACH RATE (YEAR 1 → YEAR 3)

SINCERA

45% A
LOSS RATIO TARGET

15% A
OPS COST RATIO

RENTAL SUPPLIERS

↓10% A
PICKUP DISPUTES

HOW: EXECUTION ROADMAP

Weeks 1-4 A

PHASE 0: VALIDATION & SETUP

PRD & Prototype, Prioritisation and Goals review, Concept Validation, Stakeholder Alignment, Team Setup (incl. Sincera), Rental Supplier Pitch, Design Mockups, Roadmap and Risk planning.

Weeks 5-8 A

PHASE 1: BUILD & OPS

Usability test, Jira and rituals setup, MVP Build (UK Pilot), Sincera API Integration, Legal/Fin/Ops issues, Claims Flow Test, Risk mitigation updates.

Weeks 9-10 A

MILESTONE: CANARY A/B TEST

Internal Launch, Live Claim End-to-End Test, Go/No-Go Decision.

Weeks 11-18 A

DATA MATURATION

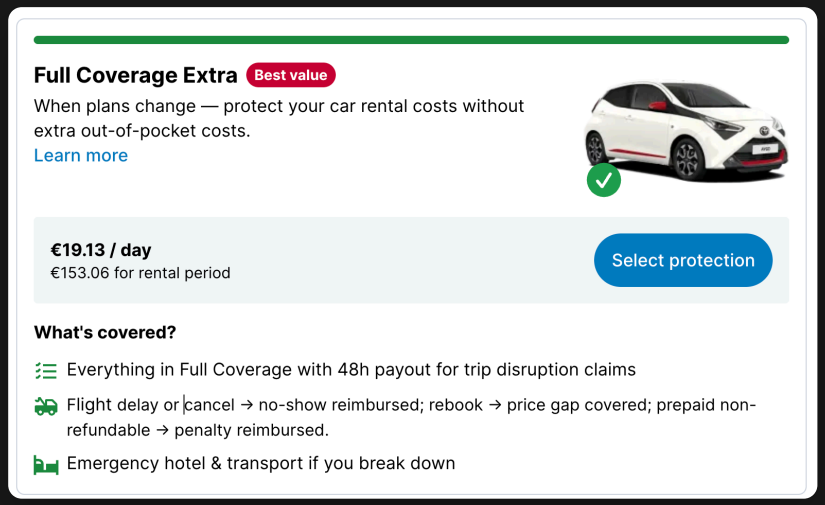
8-week Claim Lag, Loss Ratio Validation, Unit Economics Check.

Weeks 19+ A

PHASE 2: FULL ROLLOUT

100% UK Traffic, EU+US Expansion, Dynamic Pricing V1.

HOW: MVP SOLUTION DRAFT



MVP Scope:

Pilot scope: UK residents, airport bookings, “verified flight disruption” only (segmentation would be updated).

Product: 2 versions to test: Startdalone option and bundle with "Full Coverage Plus".

Coverage rules: trigger + caps + required proof (flight status + receipts); clear exclusions.

Ops model: semi-automated claims review.

Tech: flight-status verification + claim submission flow + status tracking; basic fraud checks.

Launch: canary rollout (AB test ideally, if efffective) → ramp to 100% UK if conversion not harmed + early signals OK.

Learning gate: initial custdev; wait claim lag cohort, validate LR/CM + complaints/disputes before EU/US rollout.

HOW: MEASUREMENT & LEARNING

PRIMARY METRICS (NORTH STAR)

- **New incremental revenue per booking**
- **Attach Rate**

GUARDRAIL METRICS (SAFETY)

- **Bookings Conversion** (Zero-Harm)
- **Contribution Margin** (Positive Unit Economics)
- **Retention N-day** (Long-term Trust)
- **Loss Ratio (LR)** (target band, e.g., 35–55%) A
- **Claims Freq.** & **Avg Payout** (unit econ stability)
- **Time-to-Pay** (P50/P90) + **Approval Rate**
- **Dispute / Chargeback Rate** (trust risk)
- **Complaint Rate** (regulatory + CX)

HOW WE LEARN & ITERATE

- **A/B Testing:** Short sprints on copy, placement, and pricing elasticity.
- **Qualitative:** Heatmaps, proactive feedback, reactive CS feedback, custdev.
- **Data-Driven:** Funnel drop-off, AOV analysis, unit economy etc.
- **Claims analytics:** cohort by “booking→trip→claim”, denial reasons, fraud flags, and copy/exclusion comprehension.

PIVOT / PERSEVERE SIGNALS

- **Pivot:** If Attach Rate < 5% or Support Tickets > 2% of bookings. A
- **Persevere:** If unit economics positive (CM > 0).

HOW: RISKS & MITIGATION

#	RISK NAME	MITIGATION STRATEGY	IMPACT	PROB.	SCORE
1	Failed by Misalignment	Virtual team setup + tracking + Shared OKRs + reflection.	High	High	9
2	Exclusions / Denials	Clear "What's Covered" UI (Slide 10.5) + Empathy-first rejection copy.	High	High	9
3	Regulatory Launch Delays	Parallel "Regulatory Checklist" workstream with Sincera on the early step (Pre-Project).	High	Med	6
4	Claims Ops Scalability	Pre-agreed overflow capacity if volume >110% of forecast.	High	Med	6
5	Claim Review Window	SLA enforcement + Auto-payout for clear cases to likely reduce lag.	High	Med	6
6	Anti-fraud Maturity	PRD Anti-fraud review + Manual review for high-value claims + Sincera global blacklist check.	Med	Med	4
7	Low Attach Rate (<5%)	Prepare pipelines to inforce attach rate in advance.	High	Low	3
8	Cannibalization	[In draft] Monitor "Net Basket Value"; if cannibalization >5%, shift to "Upsell Only" path.	Med	Low	2
9	Sincera Economics / Pricing	Joint "Virtual Team" to iterate pricing model weekly; agree on target LR constraints.	Med	Low	2

HOW: TRUST & COMPLIANCE

CLARITY VS. CONFUSION

- **MARKET:** Hidden exclusions drive disputes & churn.
- **Radical Transparency:** Exclusions flagged *pre-purchase*.
- **Reduced Friction:** "No-Legalese" policy (Readability Score < 60).

CERTAINTY VS. ANXIETY

- **MARKET:** Slow claims destroy retention.
- **Automated Ops:** Flight delays trigger 48h parametric payouts.
- **Visual Trust:** Real-time tracker reduces support tickets.

LEGITIMACY VS. RISK

- **MARKET:** "Grey" products risk regulatory fines.
- **Regulatory Checklist:** Rigorous audit of all compliance requirements.
- **Scalable Engine:** Dynamic T&Cs auto-adapt to local laws.

HOW: TEAM & PARTNER ALIGNMENT

TEAM

- **Virtual Team:** Joint squads (including Sincera) with shared chat for updates.
- **Communication:** Dedicated Project & Team chats (Slack/Teams) for real-time unblocking.
- **Legal/Fin Sandbox:** Pre-agreed guidelines for rapid copy iteration.

CULTURE & RITUALS

- **Kick-off:** Project initiation meetings to align on goals, scope, and success metrics.
- **Alignment:** Regular weekly project syncs to track progress and highlight team goals.
- **Cycle:** Sprint planning, Grooming, and Daily Standups (unblocking).
- **Feedback:** Retro meetings and Demo (optional).
- **1:1s:** Regular syncs with Tech Lead, Designer, Analytics, Sincera leader, Ori & anyone needed.

NEXT STEPS

- **Team meeting and setup:** Align goals, expectations and ritauls.
- **Critical feedback session and Product Approval (Phase 0):** 4-week validation phase (PM + Designer).
- **Legal / Compliance Check:** Confirm regulatory feasibility for "Trip Disruption" model with Legal.
- **Partner Kick-off:** Initial commercial loop with Sincera to align on pricing model.